



Global Competitiveness Driving The Indian ESDM Sector

The electronics industry is facing unprecedented changes worldwide. Innovation and agility are leading to a competitive advantage for an organisation, irrespective of its size. The Indian electronics industry will also be following the same trend



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As we are about to enter 2020, innovation and agility will be essential competitive ingredients for any organisation, regardless of industry. The Indian electronics system design and manufacturing (ESDM) industry companies need to take even greater advantage of emerging technological tools to accelerate experimentation, facilitate innovation, boost agility and power organisations' journey in the era of digital disruption.

Technologies to drive

Today, new technologies are penetrating the market within a fraction of the time it took older technologies to do so. Disruptors are capitalising on existing infrastructure and leaping ahead in the market share. Many electronics companies have already taken advantage of the changes in the market by enhancing their capabilities. They are becoming more sophisticated in their approach to capital markets, in developing deep consumer insights, in building technical capabilities and in developing pricing strategies.

The electronics value chain is under intense pricing pressure as customers push to

lower end-market prices and manufacturers aim to increase market penetration. However, material, labour and other operating costs continue to rise.

How can the Indian electron-

ics companies thrive in such an increasingly automated, smart and constantly-changing market? Incumbents face the challenge of agile transformation and the threat of disruption, while startups face immense challenges trying to achieve a significant market share. To survive, companies have to rethink how they operate. Business model innovation is necessary for the survival of electronics companies at key inflection points in their evolutionary curve.

For example, with their core business generating slimmer margins, many original design manufacturers (ODMs) and component manufacturers are in search of new platforms to achieve growth targets. To create long-term value, companies need to strike the right balance between core business performance and innovation at scale, while considering consumer demand trends. Consumers are demanding faster connectivity, greater interoperability and ever more innovative products and solutions.

Successful companies continually innovate through product and service development, omni-channel customer engagement and by creating agile supply chains. They also strengthen such core disciplines as capital allocation, productivity and pricing by leveraging the latest technologies while riding the wave of disruption.

A release from McKinsey Global Institute (MGI) indicates that new technologies are unfolding relentlessly on many fronts. Almost every advance is billed as a breakthrough, and the list of the next big things keeps growing longer. Not every emerging

Fig. 1: Demand-supply gap in the Indian electronics industry (Source: Gujarat State Government Report)

